

CENTRAL BANK OF BOSNIA AND HERZEGOVINA



ANNUAL REPORT
2000

Contents

CONTENTS

Summary by the Governor of the Central Bank of BiH	6
INTRODUCTION	10
I IMPLEMENTATION OF MONETARY POLICY	11
Payments Reform	13
Banking Sector	13
II CONTROL FUNCTION	15
III ORGANISATION OF THE CENTRAL BANK OF BiH	16
IV MONETARY TRENDS	18
1. Money Supply	18
2. Balance sheet of assets and liabilities of commercial banks as of 31 December 2000	21
V ECONOMIC TRENDS	23
1. Gross Domestic Product	23
2. Industrial Production	24
3. Export and Import	24
4. Retail Prices, Inflation and Costs of Living	27
5. Employment	28
6. Net Wages	28
7. Foreign Debt Servicing	29
VI CONCLUSIONS	30
VII FINANCIAL STATEMENTS OF THE CENTRAL BANK OF BiH	31
1. Balance Sheet as of 31 December 2000 (in KM)	32
2. Profit and Loss Statement for the period ending 31 December 2000 (in KM)	34
3. Notes with financial statements for the period ending 31 December 2000	37
Financial report certified by Auditors'	48
GOVERNING BOARD, MANAGEMENT, COMPTROLL AND SENIOR STAFF	52

According to Article 64. of the Law on the Central Bank of Bosnia and Herzegovina ("Official Gazette of Bosnia and Herzegovina", No: 12/97), it is the commitment of the Central Bank of BiH to submit, within three months after the end of its financial year, to the Parliamentary Assembly of Bosnia and Herzegovina three documents as it follows:

- financial statement certified by its auditors,*
- report on its operations during the year, and*
- report on the condition of the economy.*

In accordance with the mentioned Article, the Annual Report of the Central Bank of Bosnia and Herzegovina for 2000 is prepared, including these reports.

The Annual report of the Central Bank of Bosnia and Herzegovina for 2000 was discussed and adopted at 5th meeting of the Governing Board of the Central Bank of Bosnia and Herzegovina, held in Sarajevo on 29 March 2001.

Governing Board Chairman



Peter Nicholl, Governor

Summary by the Governor of the Central Bank of BiH

The Central Bank of Bosnia and Herzegovina is a State institution charged with the independent implementation of monetary policy. The implementation of monetary policy in BiH is conducted by a "Currency Board" arrangement. The local currency, the Convertible Mark is tied one to one to the Deutchemark in the CBBH Law, and is now tied to the Euro at the same rate through the Deutchemark (1 KM = 0.511 Euro). The KM liabilities of CBBH also have to be fully backed with convertible foreign assets. This is the essence of the currency board arrangement.

During 2000 the Currency Board requirements of full convertibility and full coverage for the KM were met at all times. As a consequence of the soundness of the currency board arrangement, confidence in the stability of the KM remained high during 2000, inflation remained at a reasonable level, and the use of the KM continued to expand. The growth in the CBBH's foreign reserves in 2000 was not as spectacular as in 1999, but foreign reserves still rose during 2000 from DM 865 million at the beginning of the year to DM 1,044 million by the end of the year. When the CBBH's foreign reserves reached the milestone of DM 1 billion late in December 2000, this meant that the foreign reserves of the CBBH had grown by more than 750% since the CBBH was established in August 1997.

The CBBH balance sheet continued to gain in straight in 2000 as the "free foreign exchange reserves" of the CBBH (i.e. those that were above level needed to cover all the KM liabilities) increased from DM 29 million at the beginning of the 2000 to DM 48 million at the end of 2000. The sources of the CBBH "free reserves" are the initial capital injection of KM 25 million the CBBH received and operational profits the CBBH has generated over the last two years. The CBBH Law requires the CBBH to build its capital to a minimum level of 5% of its KM liabilities. This level was reached for the first time at the end of 2000. Once this first "target" for capital is reached, the CBBH Law requires the CBBH to then build its reserves up to 5% of its KM liabilities so that capital and reserves in aggregate equal at least 10% of the CBBH's KM liabilities. This statutory requirement to strengthen the balance sheet of the CBBH is very important for the maintenance and sustainability of the currency board arrangement.

The continued growth in the KM as the transactions currency in BiH and as the currency in which a growing proportion of bank deposits are denominated show that citizens of BiH understand and trust the currency board and the KM. This trust is very important and the CBBH will do everything to continue to justify that trust.

One other major task of CBBH in 2000 was the implementation of the new domestic non-cash payments system in BiH. While many other institutions and people were also involved, the CBBH key role as the builder and operator of the new Clearing Houses and as the Chair of the Payments Council of BiH. The new payments system took effect on 5th January 2001, but almost all of the work needed to introduce the system was done in 2000. The CBBH has introduced two Clearing Houses, a real time RTGS system that is based in CBBH's Head Office, and a giro clearing house that has clearings centers in the CBBH's Main Unites in Banja Luka, Mostar and Sarajevo. The new clearing houses are similar to system being used in a number of other European countries. But they were put in place in BiH in a faster time than had been achieved in any of the other countries where they had been introduced. This was a credit to all who were involved and showed it is possible to implement complex projects in BiH quickly and effectively.

For the new payments system to work, the commercial banks also had to be ready to take over payments operations from the state-owned payments bureaus. It was a clear sign of the continuing improvement of the banking system in BiH that 40 commercial banks were ready to participate when it commenced on 5th January 2001.

There were other important steps during 2000 that will encourage the development of a sounder, stronger banking sector in BiH; one that can play a more significant role in savings and lending and thus in economic development in BiH. The minimum capital required by a bank is being progressively increased, it became possible for a bank to operate branches in both entities, deposit insurance was introduced in the Federation, a number of foreign banks entered the market and a considerable amount of consolidation occurred through mergers or closures.

There is still a long way to go before BiH has a banking system that can play the major economic role that the banking system plays in most other countries in Europe. But 2000 will go down as the year in which the banking sector finally began to move in this direction and it is likely that the speed of change will increase in 2001 and beyond.

During 2000, there were two more important developments relating to the KM currency. Firstly, 1 KM and 2 KM coins were introduced in July 2000. This brought the number of KM coins to five. There has been a marked shift to the KM as the transactions currency in all of BiH over the last two years.

The second important development was the approval by the Presidency of BiH for the introduction of a KM 200 banknote. The significant element of this decision was that the Presidency agreed that there should be only one version of this banknote. The banknote will be put into circulation later in 2001.

During 2000, the CBBH opened an office in Brcko, the CBBH's fifth office. Staff numbers grew by 41 during 2000, largely because of an increase in the number of banking customers of the CBBH, a decision to increase security within our offices, the CBBH's new role in the domestic payment system and the opening of the Brcko office. By the end of 2000, the CBBH had 198 employees. I wish to thank the CBBH Governing Board, Senior Management, and all staff for their contributions to the CBBH's operations and continued development during 2000.

*Governing
Board*



Mr. Peter W. Nicholl, Governor
Governing Board Chairman

Mr. Kasim Omičević
Governing Board Member

Mr. Manojlo Ćorić
Governing Board Member

Mr. Jure Pelivan
Governing Board Member

*Vice
Governors*



Mr. Kemal Kozarić
Vice Governor

Mr. Ljubiša Vladušić
Vice Governor

Mr. Dragan Kovačević, MA
Vice Governor

INTRODUCTION

The Central Bank of Bosnia and Herzegovina (hereinafter referred to as: the Central Bank) was established in accordance with the Law adopted at the Parliament of Bosnia and Herzegovina on 20 June 1997. The Central Bank started its operation on 11 August 1997. The main objectives and basic tasks of the Central Bank, defined by the Law and in accordance with the General Peace Agreement in Bosnia and Herzegovina are:

- to achieve and maintain monetary stability by issuing domestic currency according to the arrangement known as a Currency Board, i.e. with full coverage in freely convertible foreign exchange funds, under fixed exchange rate: one Convertible Mark per one Deutsche Mark;
- to define and control the implementation of monetary policy of Bosnia and Herzegovina;
- to hold and manage, in a safe and profitable way, the official foreign exchange reserves, acquired by issuing domestic currency;
- to support or to establish and maintain appropriate payment and settlement systems;
- to co-ordinate the activities of the Entity Banking Agencies which are in charge of bank licensing and supervision;
- to receive deposits from institutions at the level of Bosnia and Herzegovina, deposits from Entities and their public institutions according to the joint decision of Entities, as well as deposits from commercial banks;
- to issue rules and guidelines for the implementation of the activities of the Central Bank, within its powers as defined by the Law;
- to take part in international organisations engaged in strengthening financial and economic stability, and to represent Bosnia and Herzegovina in intergovernmental organisations regarding issues of monetary policy.

The senior body of the Central Bank is the Governing Board, which is in charge of establishing and supervision of monetary policy, organisation and strategies of the Central Bank, all according to powers given to the Board by the Law. The Governing Board consists of the Governor, who is Chairman of the Governing Board, and three members (two from the Federation of BiH - Bosniak and Croat and one from Republika Srpska - Serb). The Governor is a foreign national, Peter Nicholl. The Governor is also the chief executive in charge of daily operation of the CBBH. There is also the executive Management of the Central Bank consisting of the Governor and three Vice Governors (appointed by the Governor, with approval of the Governing Board). The Management is responsible for the operational management of the CBBH. The CBBH employees are organised in three departments which Vice Governors are in charge of.

The Central Bank operates through its Head Office and three Main Units (in Sarajevo, Mostar and Banja Luka, with Main Unit Banja Luka having a Branch at Pale). In 2000, a Branch of the Central Bank in Brcko was established.

This report gives the review of activities and results of the CBBH work in 2000.

*Monetary
Policy*

I IMPLEMENTATION OF MONETARY POLICY

During 2000, monetary policy, as defined in the Law and Strategic Plan of the Central Bank, continued to be successfully implemented and improved. Main results of the policy are the following:

- continuous maintenance of the stability of domestic currency - Convertible Mark,
- strict implementation of the Currency Board arrangement, by issuing domestic currency, exclusively with full coverage in freely convertible exchange funds; at the end of 2000 the CBBH had net foreign exchange assets of KM 48 million;
- strict control of Currency Board principles;
- provision of the full presence of the KM in domestic payment transactions;
- co-ordinated co-operation of the Central Bank with Banking Agencies, in charge of bank licensing and supervision, as well as establishing standards for bank operations, according to the practice in the developed market countries;
- main activities are completed for the payment system transition through transfer of internal payment transactions to commercial banks. The commercial banks have taken over the payment transactions on 5 January 2001. The Central Bank achieved a leading role in the settlement of internal payment transactions through RTGS system and gyro clearing. The project was assisted by international community and USAID.
- management of official foreign exchange reserves held with the Central Bank according to the Governing Board guidelines in order to invest them in a safe and best possible way. Foreign reserves amounted to KM 132 million when the Central Bank started its operations. At the end of 2000 they reached 1 billion.
- adequate co-operation concerning the issues within the work scope covered by the Central Bank, with the institutions at the state level - the BiH Presidency, the BiH Council of Ministers and the BiH Parliament as well as the Entity institutions - especially with Ministries of Finance, payment bureaus, banking agencies and relevant international financial institutions, particularly International Monetary Fund.

During the three and half year long operating, the Central Bank of Bosnia and Herzegovina has achieved satisfactory results, in the year of 2000 as well. The Central Bank of Bosnia and Herzegovina successfully implemented its tasks and duties defined by the Law. The Central Bank of Bosnia and Herzegovina has confirmed its role and reputation within Bosnia and Herzegovina and out of it. It is a successful institution which has contributed to the monetary policy improvement and co-ordination of banking agencies.

Upon the request of commercial banks, the Central Bank of Bosnia and Herzegovina performed KM buying and selling, and kept reserve account balances for commercial banks. During 2000, the total of KM 1.414 million was sold, and KM 1.288 million was purchased.

Foreign exchange reserves of the Central Bank of BiH in 2000 were managed in accordance with the Guidelines on the CBBH foreign exchange reserves investment, which were defined by the Governing Board, and conclusions of the Investment Committee. As defined by the guidelines on investment, the list of banks with appropriate ratings was chosen with which the funds were invested. Foreign exchange funds were invested in a safe and profitable way.

During 2000, official foreign exchange reserves managed by the Central Bank of BiH increased by DEM 179 million, to reach DEM 1.044,6 million at the end of the year. This amount includes deposits with foreign banks amounting to KM 983,3 million, foreign currency in cash amounting to KM 38,1 million and SDR holdings in the amount of KM 23,2 million. Similarly, foreign exchange funds (foreign assets) managed by commercial banks increased by 112,2 million and amounted to DEM 960,6 million at the end of the year.

Balance of Foreign Assets with banking sector 1997-2000

	in millions with one decimal DEM/KM				
	31.12.'97.	31.12.'98.	31.12.'99.	30.09.'00.	31.12.'00.
1. The Central Bank	144,1	283,3	865,7	942,7	1.044,6
2. Payment Bureaus	355,8	282,6	-	-	-
Total monetary authorities (1+2)	499,9	565,9	865,7	942,7	1.044,6
3. Commercial banks	657,8	604,7	848,4	974,8	960,6
- FBiH	487,7	430,0	766,2	880,0	870,1
- Republika Srpska	170,1	174,7	82,2	94,8	90,5
TOTAL FOREIGN ASSETS (1+2+3)	1.157,7	1.170,6	1.714,1	1.917,5	2.005,2

The 1 KM and 2 KM coins were put into circulation in July 2000, and the activities of preparing the issuance of the bank note in the denomination of 200 KM are completed. The bank note design was defined by the Governing Board and approved by BiH Presidency.

As for legal aspect, by passing documents on the internal organisation of the Central Bank and the documents regulating the basic functions and activities of the Central Bank, it was provided for the comprehensive, uniform proceeding within the powers of the CBBH. Adequate regulations were prepared related to the payment system reform. Legal matters related to the Central Bank operations with international financial institutions and BiH common institutions are also regulated.

In the CBBH in 2000, the computer network was connected in terms of communications through the dial-up line, e-mail Exchange 5.5. server was implemented, and the exchange of data among the CBBH organisational parts was enabled. The system was established for filing away data on the servers, and the activating of new book-keeping applications for Brcko Branch. Computer networks were integrated, which made it possible for the CBBH staff to exchange data and internal e-mail messages.

The Central Bank prepared the Budget and two Budget revisions for 2000. Annual Account for 1999 was also made as well as reports on the annual account which were controlled by authorised auditors and submitted to BiH bodies in charge.

Payments Reform

In 1999, the Council of Ministers of BiH accepted a strategy proposed by the international community for a fundamental reform of the BiH domestic payments system. The core of the strategy was to shift the domestic payments from the Payments Bureaus, that had a monopoly on such transactions, to the commercial banks and, once that was done, to close the Payments Bureaus.

The Governing Board of the CBBH decided in February 2000 that the CBBH should take the lead in designing and establishing the new clearing systems that would be used in the reformed payments system in BiH. This decision was endorsed by the National Payments Council of BiH.

The CBBH received funding from USAID to fund the development of the new clearing houses. It was decided to build two clearing houses: an RTGS system (Real Time Gross Settlement System) through which large value transactions would be settled and a bulk giro system for the large volume of small transactions. The giro system is run through three clearing centers located in the CBBH Main Units in Banja Luka, Mostar and Sarajevo.

The two systems were tendered separately but both tenders were won by the firm Logica from London. In the case of the giro clearing house, the tender was a joint one between Logica and Halcom from Slovenia. There was a very tight timetable if the deadline set by the international community and accepted by the Council of Ministers of BiH of the end of 2000 was to be met. But thanks to the hard work and good cooperation of the suppliers, the commercial banks, the Ministries of Finance, the Banking Agencies, and CBBH, the new payments system was able to start operation on 5 January 2001. The new clearing houses in BiH are similar to those in operation in many other European countries, so that BiH can now claim to have a modern payments system. The implementation of the clearing house project was done in a faster time than had been achieved in any of the other countries. This was a credit to all who were involved and showed it is possible to implement complex project quickly and effectively in BiH.

Banking Sector

An efficient, effective and safe banking system is a crucial part of a market economy. First, it encourages people to save by providing them with good savings instruments. Second, it promotes investment and economic growth by channeling those savings to people and businesses who wish to borrow to finance the establishment or expansion of their businesses.

But BiH does not yet have an efficient or effective banking system. The banking system in BiH is still relatively weak and fragmented and plays only a limited role in the economy as the level of savings people hold in banks is low and amount of lending the banks do to finance the business or the household sectors is also low.

In 2000, this gloomy picture began to change. First, as discussed in the previous section, the payment system was fundamentally reformed. Second, the RS government passed an amendment to their banking law that opened up the possibility of a bank authorised in one entity of BiH operating as a branch in the other entity. One bank from the Federation got approval from the RS Banking Agency to open a branch in the RS in late 2000 and other banks from both entities followed in early 2001.

Third, most of the state-owned banks finally had their opening balance sheets agreed and they moved into the privatisation phase. But progress in bank privatisation remained very slow in 2000.

Fourth, a Deposit Insurance Agency was formed in the Federation of BiH, and a Deposit Insurance Agency in RS is to commence its operations soon.

Fifth, more foreign banks commenced operations in BiH, either by applying for licenses directly or by purchasing a share-holding in an existing BiH bank. Increased foreign competition will be very good for BiH economy. It will give depositors and borrowers more choice and will force the local banks to improve the range and the quality of the banking services they provide.

There is still a long way to go before BiH has a banking sector that can play the major economic role that the banking sector plays in most other countries in Europe. But 2000 will be seen as the year in which the banking sector finally began to move in this direction and it is certain that the speed of change will accelerate even more in 2001.

Control

II CONTROL FUNCTION

The Central Bank has established the regular control function with the purpose of carrying out the control of operational risk, as well as correct application of all general regulations concerning the CBBH operation.

During 2000, the control was focussed on the review of the CBBH official foreign reserves, balance of the CBBH monetary liabilities, particularly KM bank notes, the control of implementation of the Currency Board principle, control of the CBBH income and expenditures, audit of payment bureaus i.e. clearing houses and commercial banks with which the CBBH had concluded agent agreements on safekeeping of KM cash and control of work of other CBBH organisational parts.

Within the CBBH Budget for 2000, monetary income and non-monetary expenditures were monitored both at the level of the CBBH and that of the Main Units.

The control of material operating was performed in the Central Bank of BiH. Accordingly, a Report was prepared on the control of material operating in the Central Bank of BiH in 1999, including the suggestion of measures. Controllers have performed the audit of "items in transit" with all payment bureaus and the control of cash and non-cash payments with payment bureaus and the control of the book-entering of these payments with organisational units of the Central Bank of BiH. Special attention was devoted to the review and control of KM cash held with payment bureaus in the country.

An extraordinary control of KM cash with business units of ZPP Sarajevo and ZAP Mostar was carried out based on the Governor's letter No: 01-1098/99 dated 16.12.1999, i.e. the control was performed with those business units where irregularities had been discovered on the occasion of regular control of KM cash in 1999. The extraordinary control found that the previously discovered irregularities were removed. During the year, a special attention was devoted to the control of the vault of the Central Bank of BiH and participation in providing suggestions and comments on by-laws of the Central Bank of BiH.

The total of 26 payment bureau units were controlled during 2000. The Comptroller General submits to relevant bank staff (Governor, Governing Board, Management and Heads of organisational units) written reports on reviews and controls, including findings, comments and suggestions for removal of any possible failures as well as imperfections in operational procedures

During 2000, the CBBH relevant staff submitted 20 written reports on the control of KM cash in vaults and cash offices (report was sent to all general directors of payment bureaus at the level of BiH), as well as Report on the extraordinary control of ZPP Sarajevo and ZAP Mostar, Report on the control of KM cash in the CBBH vaults, Report on the control of the CBBH Foreign Operations Division and Report on the re-organisation of the CBBH Banking Services Department in 1999 with the opinion and suggestion of steps to be taken, Report on the control of material operating in the CBBH with the suggestion of steps to be taken.

III ORGANISATION OF THE CENTRAL BANK

Organisational structure of the Central Bank is established in order to meet the needs for the successful carrying out of all its activities as set under the Law on the CBBH.

The chief body of the Central Bank is the Governing Board consisting of the Governor and three members - two from the Federation of BiH and one from Republika Srpska. During 2000, at the meetings of the Governing Board taking place as needed and not less than once monthly, the Governing Board discussed all important issues related to the realisation of basic tasks and objectives of the Central Bank.

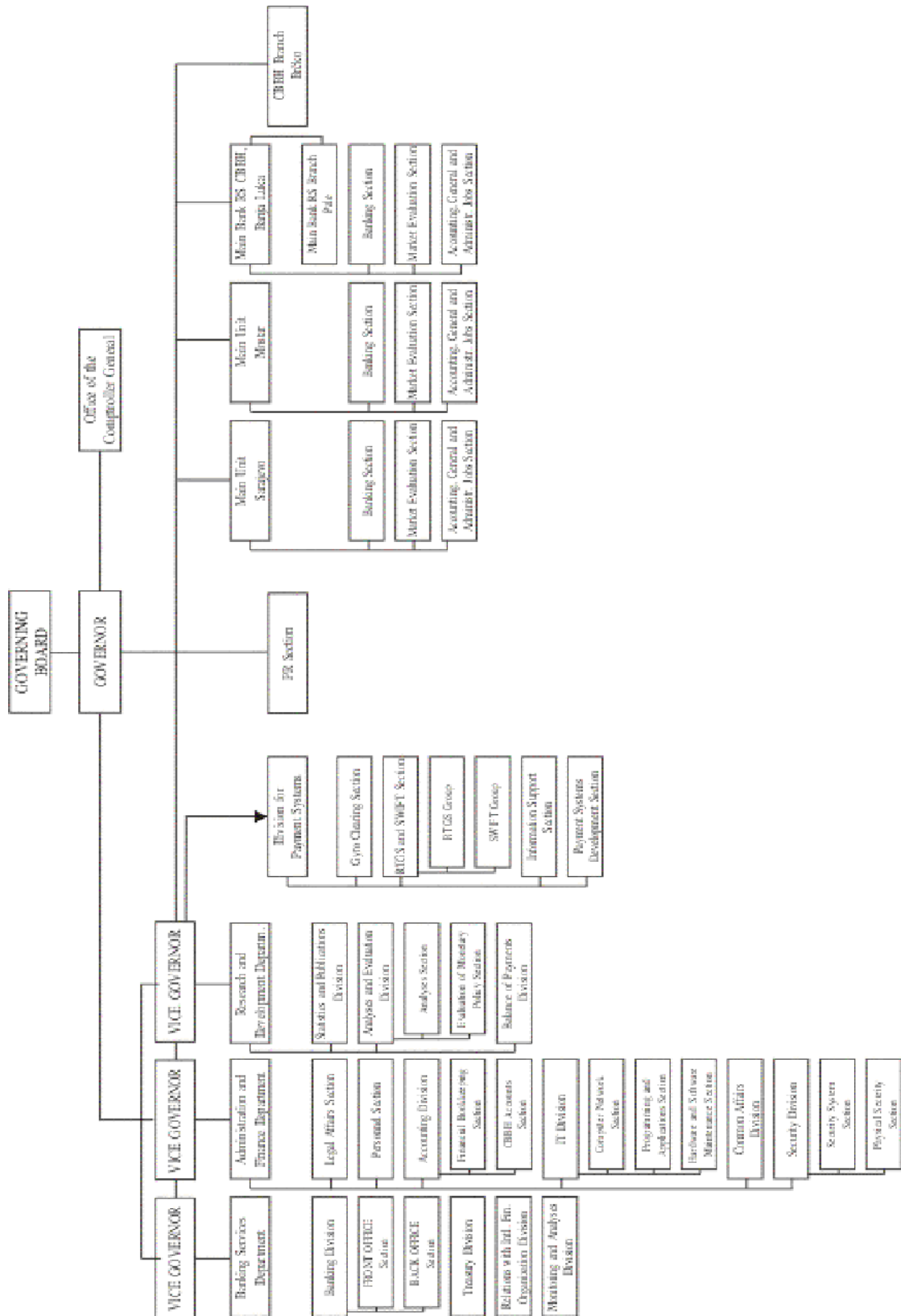
While the strategic direction of the CBBH is set by the Governing Board, the Management, consisting of the Governor as the chief executive and three Vice Governors, implements the strategies. The Management is responsible for operational management of everyday operations and realisation of tasks and objectives set by the Law on the CBBH and Strategic Plan, as well as by the Decisions of the Governing Board. During 2000, the Governing Board met 20 times, and the Management team meets twice a week.

In organisational structure, all the activities of the Central Bank are classified in terms of the nature of the tasks and duties: three departments are in the CBBH headed by the Vice Governors. The Central Bank has three Main Units - in Sarajevo, Mostar, and Banja Luka, with Main Unit Banja Luka having a Branch Office in Pale. In 2000, the Central Bank opened a Branch Office seated in Brcko.

The Central Bank of BiH adapted its organisational structure to the introduction of a new payment system in Bosnia and Herzegovina by establishing Directorate for Payment Systems and the Section for Payment Transactions of the Central Bank of BiH.

During 2000, 41 new person was employed so that the Central Bank currently has 198 employees. During work in the Central Bank, the staff undergoes regular training in order to provide successful work.

Organisational structure of the Central Bank is illustrated by the following graph:



IV MONETARY TRENDS

Monetary trends cover money supply, foreign currency assets and liabilities, credits, bank capital and other items (net).

Money supply M2 consists of monetary aggregates: narrow money M1 and quasi money QM. Monetary aggregate M1 covers cash outside banks and demand deposits in domestic currency. Monetary aggregate QM covers savings and time deposits in domestic currency, sight deposits in domestic currency and savings and time deposits in foreign currency. Demand deposits and time and savings deposits apply to the funds of cantons, municipalities, funds, enterprises and private sector (non-banking financial institutions, non-financial private enterprises, non-profit organisations, households and other).

1. Money Supply

As of 31 December 2000 the broad money (M2) was KM 2.467 million and in comparison to the positions as of 31 December 1999 it increased by KM 302 million or 13,9%. In the money supply structure, narrow money (M1) is 56,8% and quasi money (QM) is 43,2%.

The money supply structure at the end of December 1999 and during 2000 is given in the table below:

in millions KM

	31.12.97.		31.12.98.		31.12.99.		30.09.00.		31.12.00.	
	Amount	%	Amount	%	Amount	%	Amount	%	Amount	%
MONEY SUPPLY (M2)	2.165	100	2.115	100	2.239	100	2.324	100	2.467	100
1. Money (M1)	1.100	50,8	1.141	53,9	1.206	53,9	1.297	55,8	1.402	56,8
-Cash outside banks	515	23,8	504	23,8	532	23,8	546	23,5	652	26,4
-Demand deposits in domestic currency	585	27,0	637	30,1	674	30,1	751	32,3	750	30,4
2. Quasi money (QM)	1.065	49,2	974	46,1	1.033	46,1	1.027	44,2	1.065	43,2
-Time and savings deposits in domestic currency	23	1,1	37	1,7	55	2,4	64	2,8	78	3,2
-Total foreign currency deposits (demand and time deposits)	1.042	48,1	937	44,4	978	43,7	963	41,4	987	40,0

Source of data: the Central Bank of BiH, Commercial banks of BiH

Narrow money (M1) covers cash outside banks and sight deposits in domestic currency and as of 31 December 2000 was KM 1.402 million. When compared to the positions at the end of 1999 it increased by KM 302 million or 27,5%, which partly resulted from a substitution for DEM cash and DEM deposits. Therefore, 2000 was the year of an expansion of monetary aggregate M1. Demand deposits in domestic currency increased by KM 165 million or 28,2%, and cash outside banks increased by KM 137 million or 26,6%.

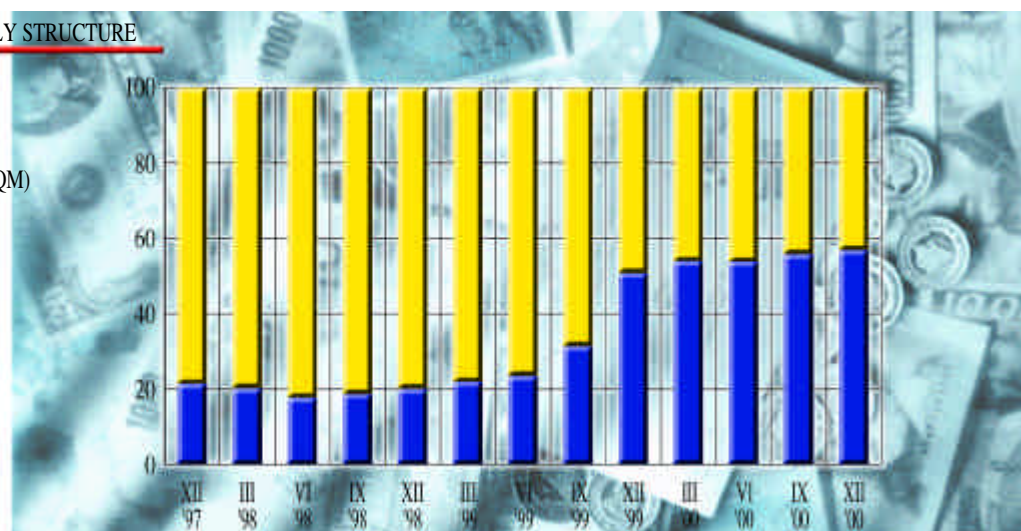
Quasi money (QM) accounted for KM 1.065 million. Time and savings deposits in domestic currency were KM 78 million and they increased by KM 55 million or more than twice. Demand deposits in foreign currency were KM 559 million and increased by KM 94 million or 20% as compared to the previous year. Time and saving deposits in foreign currency were KM 428 million and decreased by KM 149 million or 25,9% compared to the previous year.

THE MONEY SUPPLY STRUCTURE

in %

Quasi Money (QM)

Money (M1)



Sight deposits in foreign currency and time and savings deposits in foreign currency do not include commitments based on old foreign currency savings.

MONETARY AGGREGATES

in millions KM

M2

QM

M1

M0



M1 and QM monetary aggregates trends were conditioned by the trends of monetary base (currency in circulation and deposits with the Central Bank) and its multiplication in the banking sector.

Net foreign reserves represent a balance between foreign exchange assets (cash and investments in foreign currency) and foreign exchange liabilities (commitments towards non-residents). In accordance with the Currency Board arrangement, net foreign reserves are used for the backing of the monetary liabilities of the Central Bank of Bosnia and Herzegovina.

On 31.12.2000, net foreign reserves amounted to KM 1.021 million, which represents an increase compared to the positions as of 31.12.1999 by KM 155 million (17,9%). The increase of net foreign exchange reserves directly influenced the growth of currency in circulation and the strengthening of monetary base.

Net free foreign reserves, representing a balance between net foreign assets and monetary liabilities, increased by KM 19 million or 65,5% compared to the positions as of 31.12.1999. At the end of 2000, they amounted to KM 48 million. Such high growth rate of net foreign reserves resulted from KM selling and good foreign reserves management.

The survey of net foreign reserves trends is tabled below:

millions KM	Net Foreign reserves					Monetary liabilities			Net free reserves (coverage surplus)
year/month	Assets			Liabilities		Currency in circulation	Credit balance of residents		
	Foreign currency cash	Investments		Liabilities to nonresidents					
Column	1	2	3=1+2	4	5=3-4	6	7	8=6+7	9=5-8
Initial balance									
11.08.1997.	4	128	132	0	132	101	31	132	0
1997/08	4	123	127	0	127	99	28	127	0
1997/12	6	138	144	0	144	114	46	160	-16
1998/03	6	126	132	0	132	102	35	137	-5
1998/06	8	145	153	0	153	85	38	123	30
1998/09	30	188	218	0	218	113	75	188	30
1998/12	33	250	283	0	283	168	86	254	29
1999/03	11	298	309	0	309	177	103	280	29
1999/06	31	317	348	0	348	208	111	319	29
1999/09	37	381	418	0	418	264	124	388	30
1999/12	84	782	866	0	866	539	298	837	29
2000/03	27	829	856	0	856	531	292	823	33
2000/06	22	858	880	0	880	561	283	844	36
2000/09	26	916	942	0	942	580	320	900	42
2000/12	38	983	1021	0	1021	696	277	973	48

Data provided by: The Central Bank of BiH

* Commitments towards non-residents on 31.12.2000 amounted to KM 200 thousand.

2. Balance sheet of Assets and Liabilities of commercial banks as of 31.12.2000

in millions KM with one decimal

* Data from
FBiH commercial
banks are
preliminary.

No.	DESCRIPTION	Federation of BiH*	Republika Srpska	TOTAL
DOMESTIC ASSETS - TOTAL		2.293,6	1.011,0	3.304,6
1.	Reserves	265,5	21,9	287,4
2.	Claims on general Government	27,3	6,4	33,7
3.	Claims on non-financial enterprises	1.624,2	960,6	2.584,8
4.	Claims to citizens	376,6	22,1	398,7
FOREIGN ASSETS - TOTAL		870,1	90,5	960,6
Short-term foreign assets		842,3	89,9	932,2
1.	Foreign currency in banks vaults	77,1	22,9	100,0
2.	Foreign exchange checks	9,3	-	9,3
3.	Claims on non-resident banks	160,7	48,2	208,9
4.	Claims on non-resident non-banking institutions	575,3	18,1	593,4
5.	Other	19,9	0,7	20,6
Long-term foreign assets		27,8	0,6	28,4
1.	Claims on non-resident banks	6,6	-	6,6
2.	Securities in foreign means of payment	14,1	-	14,1
3.	Other	7,1	0,6	7,7
TOTAL ASSETS		3.163,7	1.101,5	4.265,2

in millions KM with one decimal

* Data from
FBiH commercial
banks are
preliminary.

No.	DESCRIPTION	Federation of BiH*	Republika Srpska	TOTAL
DOMESTIC LIABILITIES - TOTAL		2.159,6	528,6	2.688,2
1.	Deposits of general Government	103,3	39,9	143,2
2.	Sight deposits in domestic currency	597,6	152,3	749,9
3.	Sight deposits in foreign currency	488,9	65,6	554,5
4.	Time and savings deposits in d/c.	66,8	11,1	77,9
5.	Time and savings deposits in f/c.	411,9	16,3	428,2
6.	Bonds	-	4,4	4,4
7.	Capital accounts	777,4	319,6	1.097,0
8.	Other items	-286,3	-80,6	-366,9
FOREIGN LIABILITIES - TOTAL		1.004,1	572,9	1.577,0
Short-term foreign liabilities		179,2	58,9	238,1
1.	Commitments to non-resident banks	13,8	52,1	65,9
2.	Commitments to non-resident non-banking institutions	158,6	6,7	165,3
3.	Other	6,8	0,1	6,9
Long-term foreign liabilities		824,9	514,0	1.338,9
1.	Commitments to non-resident banks	8,4	8,3	16,7
2.	Commitments to non-resident non-banking institutions	810,6	505,7	1.316,3
3.	Other	5,9	-	5,9
TOTAL LIABILITIES		3.163,7	1.101,5	4.265,2

Data provided by: BiH commercial banks

Total assets of commercial banks are KM 4.265 million, out of which domestic assets are 77%, and foreign currency assets 23%. Important items in domestic assets are banks reserves (KM 287 million - deposited as reserve requirements and free part of current liquidity of banks), banks claims on commercial enterprises upon approved short and long-term credits (KM 2.585 million), claims upon credits approved to citizens (KM 399 million).

Within foreign assets, which amount to KM/DEM 960 million, short-term foreign assets are 97%, out of which cash in foreign currency is 11%, foreign exchange checks 1%, banks claims on deposited funds at their accounts with foreign banks 22%, claims on non-resident non-banking institutions are 64%, other foreign exchange claims are 2 %.

Total liabilities of banks are in balance with total assets (KM 4.265 million), out of which domestic liabilities are 63% and foreign exchange liabilities 37%.

Important items in the structure of domestic liabilities, amounting to KM 2.688 million, are: sight deposits in domestic currency of KM 750 million (of which deposits of commercial enterprises are KM 454 million), sight deposits in foreign currency are KM 554 million (of which deposits of commercial enterprises are KM 382 million and citizens deposits are KM 158 million), and time and savings deposits in foreign currency are KM 428 million (of which deposits of commercial companies are KM 116 million and citizens deposits are KM 272 million).

Total capital of commercial banks in BiH, according to the data supplied by commercial banks, is KM 1.097 million of which KM 777 million in banks in the Federation of BiH and KM 320 million in banks in Republika Srpska.

In domestic liabilities, "other items" show net amount with negative balance of accounts in the amount of KM 367 million. The above is the result of inter-banking relations.

Under foreign exchange liabilities, of the total amount of KM 1.577 million, the biggest part in the amount of KM 1.316 million is covered by: commitments upon foreign long-term credits until 1992, commitments on foreign commercial credits, and commitments on other long-term credits, commitments on long-term foreign credits to international financial institutions and commitments on long-term foreign exchange credits to linked banks.

V ECONOMIC TRENDS

1. Gross Domestic Product

According to the data of Institute of Statistics, gross domestic product (GDP), presented on the basis of current prices, in the Federation of BiH in 1999 (the final data) was USD 3.356 million. GDP per capita in 1999 amounted to USD 1.195, which is higher by 5,2% compared to the previous year.

Gross Domestic Product in Republika Srpska in 1999 (revised data) was USD 1.192 million. GDP per capita was USD 823, which is the increase by 10,8%, compared to GDP in 1998.

Realised Gross Domestic Product in BiH and that upon Entities is given in the table below:

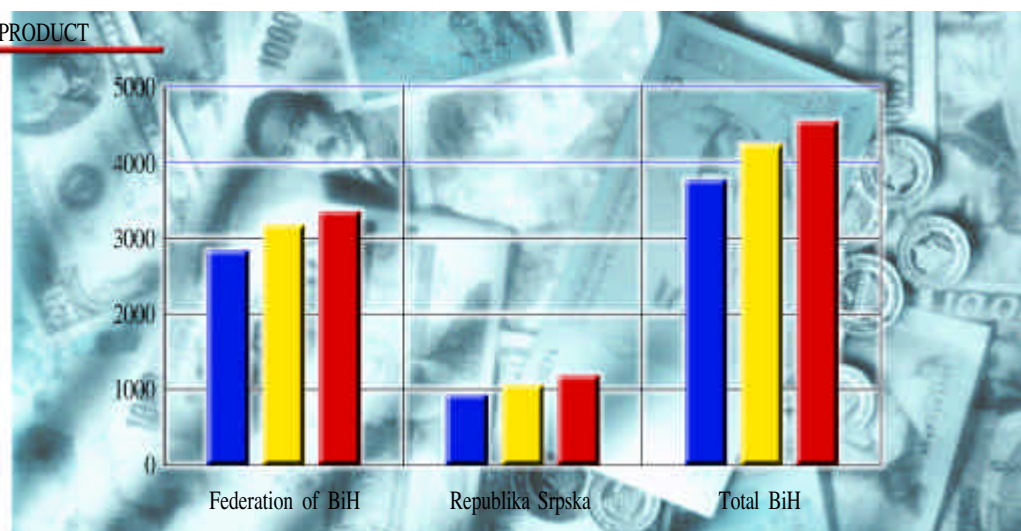
* Data were corrected according to SNA - 93 methodology.

** Previous result

	Federation BiH			Republika Srpska			Total BiH		
	1997.*	1998.*	1999.	1997.	1998.	1999.**	1997.	1998.	1999.
GDP									
- in million KM	4.943	5.602	6.142	1.619	1.837	2.181	6.562	7.439	8.323
- in million USD	2.840	3.183	3.356	932	1.062	1.192	3.773	4.245	4.548
Population	2.790.000	2.801.000	2.829.774	1.409.835	1.428.798	1.448.537	4.199.835	4.229.798	4.278.311
GDP - per capita									
- in KM	1.774	2.000	2.187	1.148	1.285	1.506	1.562	1.759	1.945
- in USD	1.019	1.136	1.195	661	743	823	898	1.003	1.063

Source: Institutes for Statistics

GROSS DOMESTIC PRODUCT
in millions USD



2. Industrial Production

Industrial production in the Federation of BiH in 2000 is monitored according to a new methodology, so that classification of industrial products upon their purposes is changed. Compared to the average of 1999, the total of industrial production increased by 8,8%, which was mainly the result of the increase in energy production which takes 35,34% of the total industrial production. The industrial production achieved its biggest volume in the fourth quarter, when it increased by 17,8 - 21,7%.

Industrial production in Republika Srpska in 2000 is higher by 5,6% compared to the previous year. During the previous year, the biggest increase was achieved by the production of non-ferrous metals and chemical base industry.

Given the purpose of industrial production, the production of raw materials increased by 8,6% during 2000, the production of instruments of labour increased by 2,3%, and production of consumer goods decreased by 1,5% when compared to the average in 1999.

3. Export and import of goods

According to the data on the export and import of goods in BiH*, over the period January-December 2000, export of goods from Bosnia and Herzegovina amounted to KM 2.057 million, which is an increase by 50% compared to the previous year. Out of the total of exports, the exports from Federation of BiH amounted to 59,4%, and the exports from Republika Srpska amounted to 40,6%. Over the same period, the import of goods amounted to KM 7.642 million, which is 26% more than the import in 1999. Out of the total of imports, imports in Federation of BiH amounted to 77,4% and imports in Republika Srpska amounted to 22,6%. So, the negative balance of foreign trade goods transactions of Bosnia and Herzegovina amounted to KM 5.585 million in 2000, with the increasing tendency year after year, the percentage of coverage of import by export being 26,9%.

Bosnia and Herzegovina - foreign trade transactions

in millions KM

DESCRIPTION	1998	1999**	2000	Index 99/98	Index 00/99
Export of goods	1.043	1.375	2.057	132	150
Import of goods	5.120	6.048	7.642	118	126
Balance of export and import of goods	-4.077	-4.673	-5.585		
Estimated coverage of import by export	20,4	22,7	26,9		

* Data on export and import of goods in FBiH provided by Customs Administration of FBiH are final, whereas data published by Statistics Institute of FBiH are preliminary. Data on export and import of goods in RS provided by Statistics Institute of RS are final.

** Final data of Statistics Institute of FBiH (Statistical bulletin of FBiH, No. 2, for 2000).

The Federation of BiH - foreign trade transactions

in millions KM

DESCRIPTION	1998	1999**	2000	Index 99/98	Index 00/99
Export of goods	619	950	1.222	153	129
Import of goods	3.728	4.459	5.912	120	133
Balance of export and import of goods	-3.109	-3.509	-4.690		
Estimated coverage of import by export	16,6	21,3	20,7		

** Final data of Statistics Institute of FBiH (Statistical bulletin of FBiH, No. 2, for 2000).

Republika Srpska - foreign trade transactions

in millions KM

DESCRIPTION	1998	1999	2000	Index 99/98	Index 00/99
Export of goods	424	425	835	100	196
Import of goods	1.392	1.589	1.730	114	109
Balance of export and import of goods	-968	-1.164	-895		
Estimated coverage of import by export	30,5	26,7	48,3		

Export and import of goods in the Federation of BiH, Republika Srpska and Bosnia and Herzegovina by years are shown by the following graphs.

EXPORT OF GOODS

in millions KM

1998

1999

2000



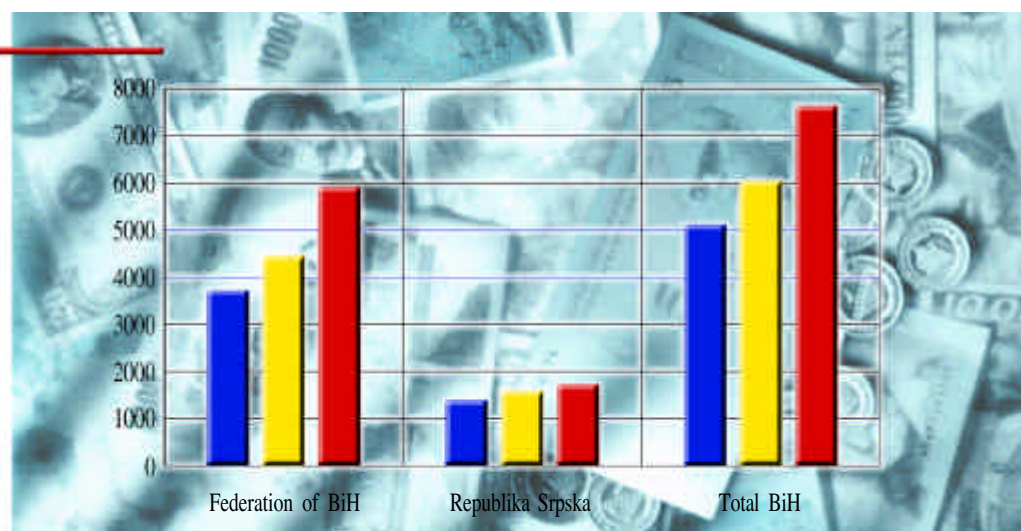
IMPORT OF GOODS

in millions KM

1998

1999

2000



BiH - export and import of goods by countries of destination/origin in 2000

in thousand KM

Country	Export of goods			Import of goods			Balance
	Amount	Share in %	Index 00/99	Amount	Share in %	Index 00/99	Amount
1	2	3	4	5	6	7	8=2-5
TOTAL	2.057.074	100,0	150	7.642.008	100,0	126	-5.584.934
Italy	480.865	23,4	179	1.218.799	15,9	125	-737.934
FR Yugoslavia	444.282	21,6	182	432.567	5,7	113	11.715
Switzerland	284.336	11,9	-	165.829	2,6	-	118.507
Germany	188.870	9,2	131	819.448	10,7	129	-630.578
Croatia	161.771	7,9	80	1.576.166	20,6	155	-1.414.395
Slovenia	110.018	5,3	114	1.083.228	14,2	144	-973.210
Austria	91.115	4,4	146	430.356	5,6	149	-339.241
France	13.596	2,6	-	80.182	0,7	-	-66.586
Hungary	7.053	0,3	100	356.541	4,7	120	-349.488
Other	275.168	13,4	-	1.478.892	19,4	-	-1.203.724

Given the countries of destination/origin, out of the total of goods export from Bosnia and Herzegovina in 2000, the highest value of goods was exported to Italy in the amount of KM 481 million (23,4%), and to FR Yugoslavia in the amount of KM 444 million (21,6%). Over the same period, the highest imports in BiH were from Croatia amounting to KM 1.576 million (20,6%), from Italy amounting to KM 1.219 million (15,9%), and from Slovenia amounting to KM 1.083 million (14,2%).

FBiH - export and import of goods by countries of destination/origin in 2000

in thousand KM

Country	Export of goods			Import of goods			Balance
	Amount	Share in %	Index 00/99	Amount	Share in %	Index 00/99	Amount
1	2	3	4	5	6	7	8=2-5
TOTAL	1.221.705	100,0	129	5.911.631	100,0	133	-4.689.926
Switzerland	239.801	19,6	209	156.258	2,6	165	83.543
Italy	212.279	17,4	107	1.103.200	18,7	133	-890.921
Germany	154.972	12,7	125	694.911	11,8	125	-539.939
Croatia	145.005	11,9	74	1.453.671	24,6	151	-1.308.666
FR Yugoslavia	122.716	10,0	202	27.144	0,5	157	95.572
Slovenia	85.371	7,0	103	846.399	14,3	147	-761.028
Austria	81.421	6,7	149	316.310	5,4	160	-234.889
France	8.898	0,7	77	41.287	0,7	59	-32.389
Hungary	4.949	0,4	77	234.898	4,0	134	-229.949
Other	166.293	13,6	165	1.037.553	17,6	106	-871.260

Given the countries of destination/origin, of total value of exports from the Federation of BiH during 2000, total exports to Switzerland amounted to KM 240 million (19,6%), and to Italy amounted to KM 212 million (17,4%). Over the same period, the highest imports were from Croatia amounting to KM 1.454 million (24,6%), and from Italy KM 1.103 million (18,7%).

Republika Srpska - export and import of goods by countries of destination/origin in 2000

in thousand KM

Country	Export of goods			Import of goods			Balance
	Amount	Share in %	Index 00/99	Amount	Share in %	Index 00/99	Amount
1	2	3	4	5	6	7	8=2-5
TOTAL	835.369	100,0	196	1.730.377	100,0	109	-895.008
Yugoslavia	321.566	38,5	175	405.423	23,4	110	-83.857
Italy	268.586	32,2	381	115.599	6,7	76	152.987
Switzerland	44.535	5,3	-	9.571	0,6	-	34.964
Germany	33.898	4,1	171	124.537	7,2	160	-90.639
Slovenia	24.647	3,0	181	236.829	13,7	134	-212.182
Croatia	16.766	2,0	237	122.495	7,1	219	-105.729
Austria	9.694	1,2	127	114.046	6,6	126	-104.352
France	4.698	0,6	-	38.895	2,2	-	-34.197
Hungary	2.104	0,3	306	121.643	7,0	100	-119.539
Other	108.875	13,0	-	441.339	25,5	-	-332.464

Given the countries of destination/origin, of total value of exports from Republika Srpska during 2000, exports to FR Yugoslavia amounted KM 322 million (38,5%) and to Italy KM 269 million (32,2%). Over the same period, the highest imports were from FR Yugoslavia amounting to KM 405 million (23,4%) and Slovenia KM 237 million (13,7%) .

4. Retail prices, inflation and costs of living

Retail prices in Bosnia and Herzegovina in 2000, in comparison to the average in 1999, recorded increasing trends in both Entities. However, the prices in the Federation of BiH recorded a slower increasing trend than those in Republika Srpska.

In the Federation of BiH retail prices were marked with a moderate growth, so during the year they increased by 1,2% on the average compared to the previous year. The structure of retail prices recorded the biggest oscillations in the prices of agricultural products- after growing in the first five months, they started to fall, so that in the end of the year their increase amounted to only 0,5%.

The retail prices in Republika Srpska in 2000 recorded an increase by 13,6% compared to average prices in 1999, which resulted from the increase of prices of agricultural products and prices of services. The biggest rise of prices was recorded in the fourth quarter.

The import of goods in Entities was oriented at different markets (Republika Srpska was oriented to Yugoslavia, and the Federation of BiH to Croatia). Therefore, the prices were different by Entities. The prices in Republika Srpska were lower since this market was supplied from Yugoslavia. As BiH market is now unique and integrated, it is being liberated and prices are being levelled. A more open market between the Entities brought about the increase of prices in Republika Srpska, and their decrease in the Federation of BiH.

Inflation in Bosnia and Herzegovina, measured by retail price growth rate over the current year compared to December of the previous year, had increasing trends in both entities. However, the increasing trends did not record the same intensity.

At the end of 2000, inflation rate in the Federation of BiH was 4,0%, and in Republika Srpska it was 16,1%, as distinguished from the previous year when the inflation rate in Federation of BiH was negative amounting to -1,0% and in Republika Srpska it was 14,0%. Inflation, measured by average retail prices in 2000 compared to 1999, was 1,2% in the Federation of BiH and it was 13,6% in Republika Srpska.

In Federation of BiH, the total living costs were higher by 1,4% compared to the average in 1999, resulting from the increased costs of transport and communications and decreased food costs.

The total costs of living in Republika Srpska during 2000 increased by 13,4% compared to the previous year, which was mostly affected by the increased costs of transport and communications and costs of education and culture. The highest increase of all kinds of costs was recorded in the fourth quarter.

5. Employment*

The total number of registered employees in the Federation of BiH increased during 2000 by 0,7%, so that this number amounted to 412.805 in the end of December. At the same time, 40.262 persons were registered on stand-by. This was less by 25,3 % compared to end of December 1999.

In the beginning of 2000, 261.793 persons were registered unemployed, while in the end of the year 267.934 persons were looking for jobs according to data from the Employment Bureau of FBiH, which is more by 2,3%. In respect to the qualification structure, the biggest number of persons looking for work were unskilled workers (37,9%) and skilled workers (33,7%). The unemployment rate was 39,4% in December.

In the end of 2000, 228.834 persons were registered employed in Republika Srpska. As of 31.12.2000, 153.264 persons were looking for work according to data from the Employment Bureau of Republika Srpska, this was an increase of 3,9 % compared to the beginning of the year. Out of the total number of the unemployed, skilled workers account for 37% and unskilled workers for 31%. Unemployment rate in December was 40,1%.

6. Net wages*

In December 2000, the average net wages in the Federation of BiH were KM 425. This was an increase of 13,6% compared to the average net wages paid in 1999. Given the

* The data are provided by Institutes for Statistics

* The data are provided by Institutes for Statistics

industrial branches, the lowest net wages in December were paid by fishing industry (KM 271) and the highest net wages were paid by financial mediation sector (KM 916).

In December 2000, the average net wages paid in Republika Srpska amounted to KM 299, an increase of 39,9% compared to the average in 1999.

Given the industrial branches, net wages paid in December were lowest in the construction industry (KM 197) and highest in social-politic associations and organisations (KM 499).

7. Foreign Debt Servicing

Over the period January - December 2000, for the purpose of BiH foreign debt servicing, the responsible ministries provided KM 197,8 million. KM 102,3 million was provided by the Federation of BiH, KM 63,7 million by Republika Srpska, KM 31,8 million from the final beneficiaries and through charging the SDR BiH account with IMF. All provided funds were allocated to appropriate purposes.

The structure of total funds in the amount of KM 197,8 million directed to creditors as well as the percentage of realisation in comparison to the projection is given in the following table:

in thousands KM

No.	CREDITOR	Planned under budget	Directed in 2000		% of realisation in relation to the plan
			Amount	%	
1	2	3	4	5	4/3
1.	World Bank - IDA	7.975	7.921	4,0	99,3
2.	World Bank - IBRD	75.817	71.251	36,0	94,0
3.	IMF	53.929	55.629	28,1	103,1
4.	EBRD	10.616	9.667	4,9	91,1
5.	European investment bank	1.147	1.108	0,6	96,6
6.	IFAD	294	288	0,1	98,0
7.	Social Development Fond	5.371	-	-	-
8.	London club	5.491	5.250	2,7	95,6
9.	Paris club	31.264	38.129	19,3	122,0
10.	EUROFIMA	1.384	1.396	0,7	100,9
11.	Saudi Development Fund	817	761	0,4	93,1
12.	CEB - Council of Europe Bank for Development	-	5.369	2,7	-
13.	European community	1.041	808	0,4	77,6
14.	Other bilateral	620	228	0,1	36,8
15.	Correction factor	1.934	-	-	-
16.	Commission to foreign banks	-	33	-	-
	TOTAL	197.700	197.838	100,0	100,1

Source: Ministry of Treasury of BiH Institutions

VI CONCLUSIONS

During 2000, the Central Bank of Bosnia and Herzegovina operated with great success, as it is fully confirmed by the following summarised results:

1. There has been continuous maintenance of stability of domestic currency, which is fully confirmed by liquid money supply in domestic currency fully covered by the foreign assets (official foreign reserves managed by the CBBiH). Thus, there is the strict implementation of the Currency Board arrangement.
Net foreign assets are higher than the monetary liabilities by KM 48 million.
2. Non-cash payment transactions were carried out only in domestic currency. This resulted in the increase of total foreign reserves held with the CBBH and commercial banks.
3. Investment of foreign reserves was performed under strict control and with constant monitoring and analyses in order to insure the necessary liquidity and the obeying of the defined guidelines. Interest rates at the world money market, trends of exchange rates and ratings of correspondent banks with which the funds had been invested, as well as those of other banks with the purpose of finding those banks which offer the most favourable investment conditions, were constantly observed.
4. The activities of preparing domestic payment system reform were successfully completed in 2000. In the beginning of January 2001, commercial banks took over payment operations. All the transactions in gyro and RTGS systems are being performed through the Central Bank.

*Finencial
Statements*

**VII FINANCIAL STATEMENTS OF CENTRAL BANK
OF BOSNIA AND HERZEGOVINA**

Central Bank of Bosnia and Herzegovina

FINANCIAL STATEMENTS
for the period ending December 31, 2000

1. Balance Sheet
as at December, 31 2000.

(in KM)

ASSETS	Notes	12/31/2000	12/31/1999
Foreign assets		1,021,357,745	865,731,927
Short-term deposits with foreign banks	1	983,241,828	782,202,602
Foreign currency in cash	2	38,115,917	83,529,325
Domestic Assets		4,819,398	523,681
Cash held at Main units of the CBBH and Payment bureaux	3	4,819,398	523,681
Position of the Government in the IMF	4	769,141,366	0
Other assets	5	6,841,977	2,289,556
Fixed assets	6	12,508,884	4,032,171
TOTAL ASSETS		<u>1,814,669,370</u>	<u>872,577,335</u>

The financial statements on pages 32 to 36 have been approved by the Bank and signed on its behalf by:

Peter Nicholl
Governor

Sarajevo,
March, 23 2001

The accompanying notes are an integral part of these financial statements

Balance Sheet
as at December, 31 2000.

(in KM)

LIABILITIES	Notes	12/31/2000	12/31/1999
Convertible Marka in circulation	7	695,887,615	538,356,238
Domestic deposits		277,319,245	298,307,288
From banks	8	261,900,528	268,244,593
From the Government and other Residents	9	15,418,717	9,107,582
Clearing items in transit	10	0	20,955,113
Liabilities of the Government to the IMF	11	769,141,366	0
Deferred income	12	12,945,533	1,564,927
Other liabilities	13	885,866	693,378
Capital and reserves	14	58,489,745	33,655,504
Subscribed capital	15	25,000,000	25,000,000
Capital from profit	16	23,660,343	4,525,807
Capital in shares	17	134,058	129,697
Reserves from grants	18	4,000,000	4,000,000
Reserves from profit	19	5,695,344	0
TOTAL LIABILITIES AND CAPITAL		<u>1,814,669,370</u>	<u>872,577,335</u>
MEMORANDUM ITEMS			
Off-Balance Sheet funds held with foreign banks	20	339,210,820	365,642,658
Liability for Off-Balance Sheet funds	20	339,210,820	365,642,658

The financial statements on pages 32 to 36 have been approved by the Bank and signed on its behalf by:

Peter Nicholl
Governor

Sarajevo,
March, 23 2001

The accompanying notes are an integral part of these financial statements

2. Profit and Loss Statement
for the period ending December, 31 2000.

(in KM)

	Notes	01/01 - 12/31/2000	01/01 - 12/31/1999
INTEREST INCOME		36,288,475	10,491,640
Foreign operations		36,288,475	10,491,640
Interest on bank deposits	21	36,288,475	10,491,640
INTEREST EXPENSE		2,929,391	664,213
Domestic operations		2,929,391	664,213
Interest on deposits	22	2,929,391	664,213
NET INTEREST INCOME		33,359,084	9,827,427
Net income from foreign exchange differences	23	250,883	520,076
Income from grants	24	245,274	104,941
Other income	25	2,297,508	1,498,086
OPERATING EXPENSE			
Salaries, and other personnel expenses		5,478,557	4,191,032
Administrative expenses		4,136,228	2,332,409
Depreciation		297,734	153,904
Other operating expenses	26	1,410,350	1,280,435
Total operating expenses		11,322,869	7,957,780
NET PROFIT BEFORE APPROPRIATION		<u>24,829,880</u>	<u>3,992,750</u>

The financial statements on pages 32 to 36 have been approved by the Bank and signed on its behalf by:

Peter Nicholl
Governor

Sarajevo,
March, 23 2001

The accompanying notes are an integral part of these financial statements

Statement of Cash flow
for the period ending December, 31 2000.

(in KM)

	Notes	01/01 - 12/31/2000	01/01 - 12/31/1999
NET CASH FLOWS FROM OPERATING ACTIVITIES:			
Profit for the year		24,829,880	3,992,750
Depreciation		297,734	153,904
Decrease / increase in foreign investments	27	98,753,116	(182,960,221)
Increase in other assets		(4,552,421)	(2,099,570)
Increase in Convertible Marka in circulation		157,531,377	370,897,399
Decrease / increase in other deposits	28	(20,988,043)	211,893,332
Increase of deferred income		11,380,606	722,121
Increase in other liabilities		192,488	337,595
Net cash flows from operating activities		267,444,737	402,937,310
CASH FLOWS FROM INVESTING ACTIVITIES:			
Increase of fixed assets	29	(8,774,447)	(3,114,380)
Net cash flows from investing activities		(8,774,447)	(3,114,380)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Increase in capital in shares		4,361	129,697
Net cash flows from financing activities		4,361	129,697
Net increase in cash and cash equivalents	30	258,674,651	399,952,627
Cash and cash equivalents at the beginning of the year	31	683,295,387	283,342,760
Cash and cash equivalents at the end of the year	32	941,970,038	683,295,387

Changes in Equity
for the period ending December, 31 2000.

(in KM)

	Subscribed capital	Capital from profit	Capital in shares	Reserves from grants	Reserves from profit	Total
As of 31 December 1999	25,000,000	4,525,807	129,697	4,000,000	0	33,655,504
Profit for the year 2000		19,134,536			5,695,344	24,829,880
Capital in shares			4,361			4,361
As of 31 December 2000	25,000,000	23,660,343	134,058	4,000,000	5,695,344	58,489,745

3. Notes to the Financial Statements for the period ending December 31, 2000

Form of presentation of financial statements

The Central Bank of Bosnia and Herzegovina financial statements have been prepared in accordance with the Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina and the Law on Internal Payment Operations. International Accounting Standards have been used.

The Financial Statements have been prepared in accordance with the historical cost basis of accounting modified for revaluation as disclosed below. A summary of the principal accounting policies is set out below.

Reporting Currency

The accompanying Financial Statements are reported in the official national currency of Bosnia and Herzegovina - Convertible Marka (KM).

The official exchange rate to German Mark (DEM) has been defined by the Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina as 1 KM :1 DEM. The Central Bank of Bosnia and Herzegovina is required by the Law to purchase and sell without restrictions KM on demand for DEM within the territory of Bosnia and Herzegovina for the exchange rate defined as one to one.

Currency Board Rule

The Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina requires that the aggregate amount of its monetary liabilities shall at no time exceed the equivalent of its net foreign exchange reserves.

Grants

Grants related to assets, including non-monetary grants, are recorded at nominal value by setting up the grant as deferred income, which is recognized as income proportionately to expenses already incurred (including depreciation over useful life of the asset).

Fixed Assets

Fixed assets are recorded at historical cost less accumulated depreciation. Depreciation is calculated using the straight-line method. The following depreciation rates have been applied:

Computer equipment	20.0%
Software	20.0%
Transport vehicle	15.5%
Switchboard	20.0%
Buildings	1.3%
Other fixed assets	10.0% - 16.5%

Interest Income and Expense Recognition

Interest income and expenses are recognized on an accrual basis.

Taxes

The Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina exempts the Central Bank of Bosnia and Herzegovina, its assets, property and income, and its operations and transactions, from all taxes and duties. Payroll taxes and other taxes on salaries are not covered by this exemption.

Foreign Currency Translation

Assets and liabilities denominated in foreign currencies other than DEM are translated into KM at foreign exchange rates at the year end. Gains and losses on translation are credited or charged to the profit and loss statement.

Payment Bureau

The Payment Bureaus for Bosnia Herzegovina (the Payment Bureaus) performed KM clearing for local commercial banks with settlement of these clearings occurring through reserve accounts maintained by commercial banks at the Central Bank of Bosnia and Herzegovina. The Payment Bureaus also distributed KM currency, throughout the country acting as an agent of the Central Bank of Bosnia and Herzegovina.

Number of employees

As per 31 December 2000, the Bank had 194 employees (31 December 1999: 157 employees).

Notes to the balance sheet, profit and loss statement**1) Short-term Deposits with Foreign Banks**

This balance represents short-term deposits with foreign commercial banks as follows:

(in KM)

No.	Description	Currency	Term deposit	Sight Deposit	Total
1.	COMMERZBANK				
		EUR		2,925	
	Total			2,925	2,925
2.	BANK OF AMERICA				
		DEM		1,310	
		USD		382	
		EUR		401	
	Total			2,093	2,093
3.	WESTDEUTSCHE LANDESBANK				
		EUR	199,953,376	71	
	Total		199,953,376	71	199,953,447
4.	DEUTSCHE BANK AG				
		DEM		6,442,251	
		USD		3,273,769	
		CHF		14,348	
		EUR	216,417,828	9,803,551	
	Total		216,417,828	19,533,919	235,951,747
5.	DRESDNER BANK AG				
		EUR	10,134,438	32,587,286	
	Total		10,134,438	32,587,286	42,721,724
6.	BANK FOR INTERNATIONAL SETTLEMENTS				
		EUR	155,196,296		
		CHF		9,636	
	Total		155,196,296	9,636	155,205,932
7.	RAIFFEISEN ZENTRALBANK				
		EUR	4,245,380	10,669	
	Total		4,245,380	10,669	4,256,049
8.	CREDIT SUISSE				
		DEM		49,754	
	Total		0	49,754	49,754
9.	BANK AUSTRIA				
		DEM	104,975		
		EUR	47,822,981		
	Total		47,927,956		47,927,956
10.	RABO-BANK LONDON				
		EUR	87,337,467		
	Total		87,337,467		87,337,467
11.	BARCLAYS BANK LONDON				
		EUR	209,831,416	1,318	
	Total		209,831,416	1,318	209,832,734
TOTAL PER CURRENCIES		DEM	104,975	6,493,315	
		USD		3,274,151	
		EUR	930,939,182	42,406,221	
		CHF		23,984	
TOTAL			931,044,157	52,197,671	983,241,828

This balance represents term deposits with foreign commercial banks based on maturity date:

(in KM)

Maturity date from 01/01/2001 to 01/31/2001	572,767,311
Maturity date from 02/01/2001 to 02/28/2001	185,975,392
Maturity date from 03/01/2001 to 03/31/2001	88,094,349
Maturity date from 04/01/2001 to 04/30/2001	64,266,561
Maturity date from 05/01/2001 to 12/31/2001	19,940,544
TOTAL	931,044,157

2) Foreign currency in cash

Foreign currency in cash consists of:

(in KM)

	12/31/2000	12/31/1999
Cash in CBBH	38,115,917	30,752,395
Cash in transit	0	20,200,000
Cash in all Payment Bureaus	0	32,576,930
TOTAL	38,115,917	83,529,325

3) Domestic Assets

Cash held at Main units of the CBBH and payment bureaus represents balances held by the Central Bank of Bosnia and Herzegovina at Main units of the CBBH and with the payment bureaus to facilitate KM payments.

4) Position of the Government in the IMF

Position of the Government in the IMF reflects claims of the Government arising from the financial arrangement with the IMF and consists of:

(in KM)

	12/31/2000	12/31/1999
Quota	480,244,845	0
IMF SDR Holdings	23,227,813	0
Accrued interest on SDR Holdings	16,432	0
Government - IMF Transactions	265,652,276	0
TOTAL	769,141,366	0

The beginning of financial arrangement reached between the Government of Bosnia and Herzegovina and the IMF came into effect at the end of 1995, but the recording of the arrangement in the books of the Central Bank of Bosnia and Herzegovina commenced in September 2000.

5) Other assets

Other assets consist of:

(in KM)

	12/31/2000	12/31/1999
Net claims against foreign banks for accrued interest on term deposits	6,174,264	1,252,653
Claims against the Payment Bureau Mostar for abstracted KM	0	600,000
Shares in BIS bank and SWIFT	137,021	132,660
Other claims against foreign banks	0	33,454
Accrued income and prepayments	32,437	170,232
Miscellaneous other assets	498,255	100,577
TOTAL	6,841,977	2,289,556

6) Fixed Assets

Fixed assets include:

(in KM)

	Software and other intangible assets	Land and buildings	Equipment and furniture	Vehicles	Advance payments	Other	Assets under construction	TOTAL
Net value as of 12/31/1999	4,817	0	547,911	154,528	837,000	38,443	2,449,472	4,032,171
Additions	142,094	1,931,561	1,284,190	352,656	-279,856	43,719	5,327,770	8,802,134
Disposals and sales	0	0	-42,740	0	0	-360	-130	-43,230
	146,911	1,931,561	1,789,361	507,184	557,144	81,802	7,777,112	12,791,075
Depreciation for 2000	1,150	20,960	194,973	74,807	0	5,844	0	297,734
Depreciation on disposals and sales	0	0	-15,543	0	0	0	0	-15,543
Net value as of 12/31/2000	145,761	1,910,601	1,609,931	432,377	557,144	75,958	7,777,112	12,508,884

Additions in assets under construction are net position (additions 2000 reduced by transfers to other fixed assets positions).

7) Convertible Marka in Circulation

This item represents currency placed into circulation as follows:

KM

Convertible marka currency placed into circulation - at December 31, 1999	538,356,238
Convertible marka currency placed into circulation during the year 2000	157,531,377
Convertible marka currency placed into circulation - total - at December 31, 2000	695,887,615

Convertible marka currency placed into circulation in Bosnia and Herzegovina and abroad:

KM

Convertible marka currency placed into circulation in Bosnia and Herzegovina - at December 31, 2000	695,861,220
Convertible marka currency placed into circulation abroad - at December 31, 2000	26,395

8) Domestic Deposits from Banks

This balance includes mainly deposits (KM 238,353,068) of 58 domestic commercial banks to meet obligatory reserve requirements, to settle payment obligations cleared through the Payment Bureaus, and for transactions between the commercial banks and the Central Bank of Bosnia and Herzegovina. The accounts are denominated in KM. The Payment Bureaus maintained these accounts on behalf of the Central Bank of Bosnia and Herzegovina and performed KM clearing for the commercial banks on behalf of the Central Bank of Bosnia and Herzegovina.

This balance also includes reserve accounts of organizational units of the Central Bank of Bosnia and Herzegovina, reserve account of the National Bank of Bosnia and Herzegovina under liquidation, non included banks giro accounts held up in the Payment Bureaus which are subsequently included in deposits of banks, liabilities for Convertible Marka cash which are subsequently placed into circulation on basis giro accounts in the Payment Bureaus, other liabilities to banks on basis deposits and unidentified liabilities, which came up after closing of the Payment Bureaus.

(in KM)

	12/31/2000	12/31/1999
Deposits of domestic commercial banks	238,353,068	266,640,152
Reserve accounts of organizational units of the Central Bank of Bosnia and Herzegovina	4,819,398	523,681
Reserve account of the National Bank of Bosnia and Herzegovina under liquidation	712,619	1,080,760
Non included banks giro accounts held up in the Payment Bureaus which are subsequently included in deposits of banks	5,385,392	0
Liabilities for Convertible Marka cash which are subsequently placed into circulation on basis giro accounts in the Payment Bureaus	10,327,456	0
Other liabilities to banks on basis deposits	1,373,097	0
Unidentified liabilities, which came up after closing of the Payment Bureaus	929,498	0
TOTAL	261,900,528	268,244,593

9) Domestic Deposits from the Government and other residents

Domestic deposits from the Government and other residents consist of:

(in KM)

	12/31/2000	12/31/1999
Deposits for servicing foreign debts of BiH	6,643,668	2,069,922
Deposits for Budget of Institutions BiH	3,626,099	7,037,660
Other deposits	5,148,950	0
TOTAL	15,418,717	9,107,582

10) Clearing items in transit

These items in previous period reflect transactions between banks, which have not been finally settled at balance sheet date. As a result of problems with hardware and software the Payment Bureaus could not perform an adequate timely settlement for all payments made among their branches.

11) Liabilities of the Government to the IMF

Liabilities of the Government to the IMF reflect liabilities of the Government arising from the financial arrangement with the IMF and consist of:

(in KM)

	12/31/2000	12/31/1999
Securities	707,465,835	0
IMF Account No 1	1,200,612	0
IMF Account No 2	14,084	0
SDR Allocation	58,166,858	0
Accounts Payable Charges	1,834,189	0
Accrued SDR Interest on SDR Allocation	459,788	0
TOTAL	769,141,366	0

The beginning of financial arrangement reached between the Government of Bosnia and Herzegovina and the IMF came into effect at the end of 1995, but the recording of the arrangement in the books of the Central Bank of Bosnia and Herzegovina commenced in September 2000.

12) Deferred Income

This balance represents grants received in cash and fixed assets, income from which is recognized on a systematic and rational basis over period of using grants.

13) Other Liabilities

Other liabilities include the following items:

	(in KM)	
	12/31/2000	12/31/1999
KM deposit of the UN mission	200,000	0
Suppliers	153,102	146,382
Accrued expenses	352,699	157,834
Salaries and other liabilities	180,065	389,162
TOTAL	885,866	693,378

14) Capital and Reserves

The ratio between capital and reserves and monetary liabilities comprising Convertible Mark in circulation and domestic deposits, at the end of December 2000 was 6.01 %.

15) Nominal Capital

Nominal capital was subscribed in the amount of DEM 25,000,000 by the Government of Bosnia and Herzegovina on June 12, 1998 and it was invested in EUR deposit accounts with commercial banks in Germany.

16) Capital from profit

Capital from profit represents net profit for the year 1997 (KM 448,793), net profit for the year 1998 (KM 84,264), net profit for the year 1999 (KM 3,992,750) and part of net profit for the year 2000 (KM 19,134,536) allocated to capital in accordance with Article 27 Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina. Article 27 determines that net profit for the year must be allocated to capital if the amount of capital is lower than 5 % of total of monetary liabilities.

17) Capital in shares

This amount equals the Bank' shares in BIS bank.

18) Reserves from grants

Reserves from grants are donations from the IMF through BiH institutions, and they have not been spent (DEM 4,000,000).

19) Reserves from profit

Reserves from profit represent part of net profit for the year 2000 (KM 5,695,344) allocated to reserves in accordance with Article 27 Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina.

20) Memorandum items

The Central Bank of Bosnia and Herzegovina also maintains certain accounts in foreign currencies in terms of agreements entered into among the Government of Bosnia and Herzegovina and foreign governments and financial organizations. As these accounts do not appear to be either assets or liabilities of The Central Bank of Bosnia and Herzegovina, they have not been included in the Bank's balance sheet.

21) Interest on bank deposits

Interest on bank deposits represents income on deposits with foreign banks, which consists of the following: interest on deposits of the Central Bank of Bosnia and Herzegovina and interest on deposits of the Government of BiH and other non-bank residents.

(in KM)

	12/31/2000	12/31/1999
Interest on deposits of the Central Bank of Bosnia and Herzegovina	34,660,368	10,186,575
Interest on deposits of the Government of BiH and other non-bank residents	1,628,107	305,065
TOTAL	36,288,475	10,491,640

22) Interest Expense on Deposits

Interest expense on deposits includes interest expenditures for residents-deposits of commercial banks, Government of BiH deposits and deposits of other non-bank residents.

(in KM)

	12/31/2000	12/31/1999
Interest expense on the basis of deposits of commercial banks	1,301,284	359,148
Interest expense on the basis of deposits of the Government of BiH and other non-bank residents	1,628,107	305,065
TOTAL	2,929,391	664,213

23) Net income from foreign exchange differences

Net income from foreign exchange differences represents difference between income from foreign exchange differences (KM 731,065) and expenses from foreign exchange differences (KM 480,182).

24) Income from Grants

This balance represents income recognized on grants received as compensation for expenses incurred in 2000.

25) Other Income

This balance represents commission income - services for the Government of BiH and other non-bank residents (KM 180,026), penalty charges received from domestic commercial banks (KM 439,307), commission income from domestic commercial banks (KM 1,546,071) and other miscellaneous income (KM 132,104).

26) Other operating expenses

Other operating expenses include commission expenses (KM 58,666), operating expenses with foreign banks (KM 391,101), expenses for production of coins (KM 941,959) and miscellaneous operating expenses (KM 18,624).

Cash Flow Statement - Notes

27) Decrease / increase in Foreign Investments

Item refers to decrease in value of short-term deposits with maturity over 3 months with foreign banks in year referred.

28) Decrease / increase in other Deposits

Item stands for decrease in value of total domestic deposits as part of monetary liabilities in year referred.

29) Increase of Fixed Assets

The item reflects increase in value of total fixed assets deducting depreciation charged in year referred.

30) Net Increase in Cash and Cash Equivalents

Item represents summary of net cash flows from operation activities, net cash flows from investment activities and net cash flows from financial activities.

31) Cash and Cash Equivalents at the beginning of the year

Item is total amount of cash in foreign currency and KM at the beginning of the year.

32) Cash and Cash Equivalents at the end of the year

For the cash flow purposes, cash and cash equivalents consist of:

(in KM)

	12/31/2000	12/31/1999
KM cash held at Main units of the CBBH and Payment bureaus	4,819,398	523,681
Foreign currency in cash in the CBBH	38,115,917	83,529,325
Foreign currency sight deposits	52,197,671	43,940,285
Foreign currency deposits with maturity under 3 months	846,837,052	555,302,096
TOTAL	941,970,038	683,295,387

Other notes

33) Related Party and other Disclosures

There were no related-party transactions with members of the Governing Board. Loans to staff are made in accordance with the provisions of Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina.

The Governor of the Central Bank of Bosnia and Herzegovina is also a member of the Payment Bureaus Governing Board and Payment Bureaus acted as an agency for KM currency distribution in the country.

34) Segment Reporting

The Central Bank of Bosnia and Herzegovina operates as a central bank under a currency board arrangement. Its domestic operations are in one geographical area (Bosnia and Herzegovina) and foreign investment activities are predominantly carried out in Europe.

35) Subsequent events

Until December 31, 2000 the Payment Bureaus performed KM clearing for local commercial banks with settlement of these clearings occurring through reserve accounts maintained by commercial banks at the Central Bank of Bosnia and Herzegovina. Until December 31, 2000 the Payment Bureaus also distributed KM currency, throughout the country acting as an agent of the Central Bank of Bosnia and Herzegovina.

Since January 5, 2001 the KM clearing for local commercial banks has been carried out through the RTGS (Real Time Gross Settlement) and (Bulk) Gyro Clearing systems within the Central Bank of Bosnia and Herzegovina; through reserve accounts of commercial banks opened with the Central Bank of Bosnia and Herzegovina. Also, since January 5, 2001 distribution of KM for the whole country has been done through separate vaults of the Main Units of the Central Bank of Bosnia and Herzegovina.

AUDITORS REPORT

Independent Auditors' Report

Audit of the Financial Statements
as of December 31, 2000

**Central Bank of Bosnia and
Herzegovina, Sarajevo**

 **ERNST & YOUNG**

AUDITORS REPORT

INDEPENDENT AUDITORS' REPORT

Audit of the
Financial Statements as of December 31, 2000

**Central Bank of
Bosnia and Herzegovina,
Sarajevo**

EY ERNST & YOUNG
Wirtschaftsprüfungs- und
Steuerberatungsgesellschaft m.b.H.
Praterstraße 23
(P.O. Box 290)
A-1021 Vienna
Telephone: 0043 (0)1 211 70

AUDITORS REPORT

Central Bank of Bosnia and Herzegovina

December 31, 2000

INDEPENDENT AUDITORS' REPORT

To the Board of Governors of

Central Bank of Bosnia and Herzegovina

We have audited the accompanying balance sheet of Central Bank of Bosnia and Herzegovina (the "Bank") as per December 31, 2000, and related profit and loss statement, statement of cash flows and changes in equity for the year then ended. These financial statements are the responsibility of the Bank's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with International Standards on Auditing as defined by the International Federation of Accountants. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our last year's independent auditors' report, we drew attention without qualifying our opinion to the stolen cash of the Bank in the amount of KM 600.000. During business year 2000, the Bank has recovered the full amount from the Payment Bureau Mostar.

As discussed in Note 9 of last year's financial statements, a number of items as per December 31, 1999 have been recognised as clearing items in transit in the balance sheet of the Bank. Due to inadequate controls at the Payment Bureaus in the past we were unable to substantiate that balance, and because we were unable to gain sufficient audit evidence through other means, we were unable to satisfy ourselves as to the carrying amount of clearing items in transit. Consequently, we did not express an opinion on these clearing items in transit in last year's independent auditors' report.

On January 5, 2001, the payment system has been transferred to the commercial banks and the Bank, therefore the payment bureaus closed their operations. In connection with

 ERNST & YOUNG

AUDITORS REPORT

Central Bank of Bosnia and Herzegovina

December 31, 2000

that closing the Bank made substantial efforts to reconcile the clearing items in transit and reduced the unidentified amount of clearing items in transit to KM 929.498. This amount was considered not to be material for the presentation of the financial statements 2000. As per December 31, 2000, that amount, which relates to some unidentified liabilities, which came up after closing of the Payment Bureaus, is shown under balance sheet position Domestic deposits from banks.

In our opinion, the financial statements referred to in the first paragraph above present fairly, in all material respects, the financial position of the Bank as per December 31, 2000 and the results of its operations and its cash flows for the year then ended in accordance with International Accounting Standards.

Without qualifying our opinion, we draw attention to the fact that the Bank has included assets and liabilities related to the IMF in its balance sheet, which belong to or are the responsibility of the Government rather than the Bank. Those assets and liabilities relate to financial arrangements agreed between Bosnia and Herzegovina and the IMF at the end of 1995. The Bank acts as a depository agent and is responsible for recording of these transactions. At the end of business year 2000, the Bank has included these transactions between the Government and the IMF in the Bank's financial statements for the first time.

Vienna, March 23, 2001

ERNST & YOUNG
WIRTSCHAFTSPRÜFUNGSGESellschaft mbH
STEUERBERATUNGSGESellschaft mbH



FRIEDRICH O. HUF
CERTIFIED PUBLIC ACCOUNTANT

GOTTFRIED SATZER
CERTIFIED PUBLIC ACCOUNTANT

ERNST & YOUNG

GOVERNING BOARD:

*Governing
Board,
Management
and
Comptroll*
Mr Peter Nicholl, Chairman
Mr Jure Pelivan, Member
Mr Kasim Omičević, Member
Mr Manojlo Ćorić, Member

MANAGEMENT:

Mr Peter Nicholl, Governor
Mr Dragan Kovačević, MA, Vice Governor
Mr Kemal Kozarić, Vice Governor
Mr Ljubiša Vladušić, Vice Governor

COMPTROLL:

Dr Obrad Piljak, Comptroller General
Ms Amina Sofradžija, Comptroller General Deputy
Mr Anton Salapić, Comptroller General Deputy
Ms Milosija Drakulić, Comptroller General Deputy

Senior Staff

SENIOR STAFF:

Governing Board Secretary

Ms Ulfija Džubur

Research and Development Department
Managing Team:

Ms Ljiljana Marjanović
Mr Nebojša Nastić
Mr Novo Cicović
Ms Zorica Vučičević

Banking Services Department
Managing Team:

Ms Feriha Imamović
Ms Jasmina Novalija
Mr Silvestar Lincender

Administration and Finance Department
Managing Team:

Ms Anđa Bijeljac
Mr Dragan Šošić
Ms Jasenka Žigić
Mr Mehmed Šehić, MA
Mr Munib Brkić
Mr Nazif Husović, MA
Mr Ninoslav Gregović

Banking Supervision Co-ordinator:

Ms Jasmina Halilbegović

Public Relations Section Co-ordinator:

Ms Duška Jurišić

Division for Payment Systems, Director

Mr Đorđe Racković

Main Unit Sarajevo Director

Mr Sadik Kadrić

Main Unit Mostar Director

Ms Anka Musa

Main Bank of Republika Srpska, Director

Ms Mirjana Jaćimović

CBBH Branch Office Pale, Director

Mr Marko Radović

CBBH Branch Office Brcko, Director

Ms Mirzeta Arnautović

Publication and photo-copying for educational and non-commercial purposes
are allowed with acknowledgment.

PUBLISHER

Central Bank of Bosnia and Herzegovina
25. Maršala Tita St.
71000 Sarajevo
tel. (387 33) 663 630
fax (387 33) 278 299
www.cbbh.gov.ba
e-mail: contact@cbbh.gov.ba